GMS WEEKLY

Your Source for Recycling News

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Week 18

Highlights:

- **Sentiments down.**
- **Wait and watch.**
- **700s gone.**
- **Forwards firm.**
- **Limited supply.**
- **Below USD 400/MT.**

QUOTE of the WEEK

"One man with courage makes a majority."
– Andrew Jackson

MARKET COMMENTARY

TURN FOR WORSE!

Sub-continent markets have taken a turn for the worse this week, as collapsing steel prices in India and Eid holidays in Pakistan, Bangladesh, and Turkey have led to depressed sentiments and virtually no new offers emanating on any available tonnage.

Most End Users now want to wait-and watch-market developments before offering anew on vessels at far lower levels that seem more in line with the realistic USD 650s/LDT than the struggling USD 700s/LDT most in the industry were gunning for earlier on select units.

There has certainly been some increasing and noteworthy reticence from sub-continent Recyclers about having to dip into levels at or above USD 700/LDT. So, there is perhaps some justification for watching-and-waiting if units can be secured at these currently lower levels.

Notwithstanding, despite this most recent volatility, fundamentals (including steel plate prices, which are at record highs of their own) overall remain firm across the sub-continent markets and the expectation is that appetite and sentiments will likely firm up once Eid holidays conclude from next week onwards, especially before the onset of June / monsoon season.

There has been some worrying currency depreciations in all recycling destinations (India, Pakistan, Bangladesh and even Turkey) over the past few weeks and this week, the currencies depreciated across the board, despite capacity remaining firm to take the paucity of units that are available.

Since supply is so limited at present (with all Dry Bulk and Container markets firm & Tanker charter rates starting to pick up again), recycling prices could possibly return to previous highs going into the traditionally quieter summer / monsoon season.

Finally, at the far end, the Turkish market continues to gradually degrade, as fundamentals and prices both recorded further declines this week, as levels finally fall below USD 400/MT for dry units.

For week 18 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weakening	650 / LDT	660 / LDT	670 / LDT
2	Pakistan	Weakening	640 / LDT	650 / LDT	660 / LDT
3	Bangladesh	Weakening	630 / LDT	640 / LDT	650 / LDT
4	Turkey	Weakening	390 / LDT	400 / LDT	400 / LDT

GMS would like to wish all readers an Eid Mubarak!

BANGLADESH

OUT OF PICTURE!

Severely weakened.

The Bangladeshi market remained out of the picture for the most part this week, not only as the country celebrated Eid holidays, but the severely weakened sentiments also lead to the utterly unworkable levels at present, as local offerings are no longer competitive even with the traditionally weaker Indian and Pakistani markets.

The currency has suffered some worrying depreciations over the past week, as steel prices have cooled off as well over the month of Ramadan. However, the overall prognosis for Chattogram remains positive / firm in the months ahead.

Forward prognosis firm.

There also remains a general lack of supply of locally flavoured large LDT units and this may lead to some overly speculative purchases on any available tonnage once the Chattogram market resumes post Eid-holidays.

This week however, as quiet as this market was while Local Recyclers celebrated Eid, so was Chattogram's anchorage as not a single fresh unit arrived the waterfront this week.

NO MARKET SALES REPORTED

INDIA

STEEL SLIDE!

Indian steel plate prices have continued their dramatic volatility this week as well, as levels declined by over USD 25/Ton, only to recover marginally before the week ended.

Reluctant.

As such, most Alang Recyclers remain reluctant to dive into fresh negotiations / new purchases and some are even hesitant to offer at all, especially at these incredibly high overall levels being sought by the few Owners who are introducing the occasional unit into the recycling markets.

Rising inflation rates and a currency that has depreciated significantly against the U.S. Dollar during Q1 are some of the fundamentals fuelling a great portion of the negativity in the Indian recycling market, along with shaky fundamentals over the past few weeks.

Not secure.

With the Ukrainian conflict still ongoing, India's inflation will remain of concern going forward as Russia is one of India's primary sources of oil and the current sanctions are making it harder for the Indian Government to acquire the same for domestic consumption, giving rise to the recent volatility / domestic inflation.

There is always some extreme volatility from week-to-week in Alang, but the status of India as the top paying recycling destination after the conclusion of Eid holidays may not be so secure after all.

NO MARKET SALES REPORTED

PAKISTAN

WOEFUL WEEK!

Need to perform.

With a political coup and a dramatically depreciating currency still fresh in memory, it has been a rather woeful week in Pakistan – both in terms of fetching fresh firm offers and also getting Gadani Recyclers to honour those deals that have already been committed locally.

At times like these, Recyclers need to take responsibility, rather than use every market movement as an excuse to fret and walk away from existing commitments. A reliable Cash Buyer counterpart is the only other element in the transaction that can help ensure a smooth performing deal.

Empty handed.

As Eid holidays conclude and the traditionally firmer Bangladesh gets back to buying, it is hard to foresee any of the dwindling supply of recycling candidates ending up in Pakistani hands (especially at this time).

NO MARKET SALES REPORTED

TURKEY

TUMBLING STEADILY!

The Turkish market continues its steady decline as levels have dropped nearly USD 80/MT in a matter of a few weeks.

Deep Drop.

Declining steel plate prices (both import and steel) and a weakening Lira (that has now fallen increasingly closer to the dreadful TRY 15.0 mark against the U.S. Dollar) that have been the primary driving forces behind local offerings.

The market has remained relatively quiet and most Recyclers are looking for tonnage basis later deliveries in the summer. As such, a permeating demand certainly seems to be present.

Record highs.

Just how this market will react moving past Eid remains to be seen. Yet, levels remain at record highs even today.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Starfish don't have blood. They circulate nutrients by using seawater in their vascular system.*
- *Adult cats only meow at humans, not other cats.*
- *Video games have been found to be more effective at battling depression than therapy.*
- *Some people in Russia think that eating ice cream will keep you warm.*
- *Underneath the streets of Beijing, there are over a million people who live in nuclear bunkers.*
- *A study from Harvard University finds that having no friends can be just as deadly as smoking. Both effect levels of a blood-clotting protein.*
- *All new FBI special agents and intelligence analysts are required to visit the United States Holocaust Memorial Museum.*
- *Garlic is known to attract leeches.*
- *Mob boss, Vincent Gigante, used to wander around New York in his bathrobe to convince the police he was insane and avoid capture.*
- *Bubble wrap was originally invented to be wallpaper. The creators tried to make plastic wallpaper with a paper backing, but it came out with plastic backing*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
May 03 – Eid-Ul-Fitr	May 01 – May 05 May 14 – May 22 May 27 – May 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
May 01 – May Day May 02 – May 04 – Eid-Ul-Fitr	May 01 – May 03 May 16 – May 19 May 29 – May 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – Labor Day	May 01 – Labour Day May 03 – 05 – Eid-Ul-Fitr	May 03 – 05 – Eid-Ul-Fitr

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ALANG - Port Position as of May 06, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Albaraka 6	1,645	Livestock Carrier	Arrived May 05
2	*Cement 1 (Under Tow)*	*14,739*	*Cement Carrier*	*Beached May 02*
3	*High Two (Under Tow)*	*5,660*	*Accommodation Barge*	*Beached April 30*
4	*No.1 SJ Gas*	*1,978*	*Tanker*	*Beached April 29*
5	*Reo*	*2,878*	*Tanker*	*Beached May 02*
6	*Rey*	*13,382*	*Tanker*	*Beached April 30*
7	*Roar*	*26,294*	*Tanker*	*Beached April 29*
8	*SS3 (Under Tow)*	*4,399*	*Accommodation Barge*	*Beached May 01*
9	Sveaborg	5,016	Fish Factory	Arrived April 25
Total Tonnage		**75,991**		

CHATTOGRAM - Port Position as of May 06, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Arctic C*	*2,214*	*Reefer*	*Beached April 30*
2	**Basundhara - 8**	**7,782**	**Bulk Carrier**	**Arrived March 20**
3	Ex BNS Nirbhoy	360	Supply Vessel	Arrived April 20
4	Flatback	911	Tanker	Arrived April 24
5	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
Total Tonnage		**28,151**		

GADANI - Port Position as of May 06, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	C Mariner	1,400	Tug	Arrived May 03
2	*Princess Sama*	*2,000*	*Tanker*	*Beached April 29*
3	Saavi	22,349	Tanker	Arrived April 28
Total Tonnage		**25,749**		

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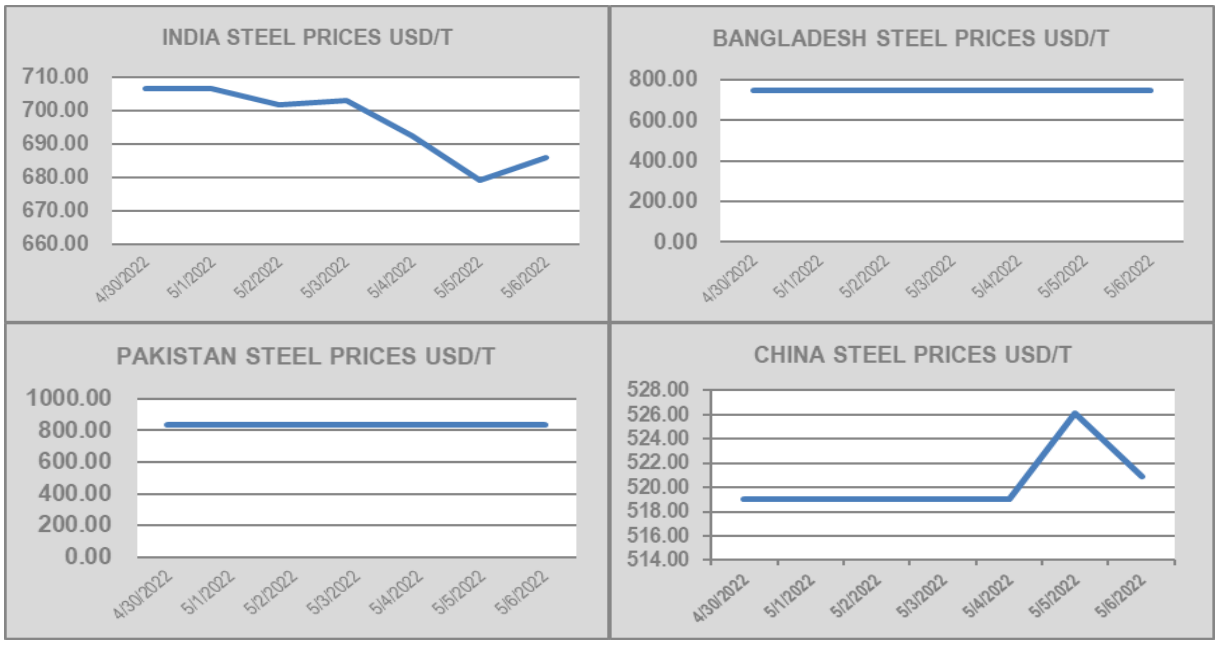
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/30/2022	706.62	54,000.00	833.11	156,000.00	749.71	63,800.00	519.06
5/1/2022	706.62	54,000.00	833.11	156,000.00	749.71	63,800.00	519.06
5/2/2022	701.69	53,700.00	833.11	156,000.00	749.71	63,800.00	519.06
5/3/2022	702.99	53,800.00	833.11	156,000.00	749.71	63,800.00	519.06
5/4/2022	692.36	53,000.00	833.11	156,000.00	749.71	63,800.00	519.06
5/5/2022	679.29	52,000.00	833.11	156,000.00	749.71	63,800.00	526.10
5/6/2022	685.83	52,500.00	833.11	156,000.00	749.71	63,800.00	520.86



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